

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

September 30, 2026 | 04:16 PM ET

MACRO REGIME: Mixed / Transitional

VIX 16.5 (+0.7 vs 20d) | SPY 20d -0.3% | IWM 20d -5.5% | IWM/SPY trend -5.2%

Leaders: Technology (+6.6%), Comms (-1.3%), Healthcare (-2.6%)

Setup Grades

A - Prime Setup (0)	B - Building (3)	C - Early Stage (3)
	TRMD	HCM
	QLYS	COHU
	SEI	TENB

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	TRMD	TORM plc	Global Energy Trade	\$3.91B	\$38.05	\$38.83	2.0%	+44.9	YES	YES
B	QLYS	Qualys, Inc.	Cybersecurity Consol	\$6.59B	\$187.20	\$190.27	1.6%	+23.8	YES	no
B	SEI	Solaris Energy In	AI Data Center Power	\$7.16B	\$71.18	\$72.17	1.4%	+3.5	YES	no
C	HCM	HUTCHMED (China)	China Biotech & Glob	\$2.54B	\$14.63	\$14.84	1.4%	+25.3	YES	no
C	COHU	Cohu, Inc.	Semiconductor Capex	\$3.23B	\$68.14	\$68.49	0.5%	+12.3	YES	no
C	TENB	Tenable Holdings,	Cybersecurity Compli	\$4.01B	\$36.39	\$38.89	6.9%	-8.4	YES	no

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$38.83
% to Pivot	2.0%
Days in Base	14
Tightness	5.66 Fair
52W Hi Prox	98.0%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	2015k <
Wk2	1946k <
Wk3 (oldest)	2164k
Coil Strength	6.9% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+44.9%
RS Line New Hi	YES - Early Leader
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$3.91B
Float	76M sh
P/E (TTM)	6.1
Fwd P/E	8.8
Rev Growth	110.3%
Short %	2.4%
Inst. Own	-
Target Pr.	\$41.50

ENTRY TRIGGER
Close above \$38.85 on volume >120% of 20-day avg (>1.22M shares)
Target: \$44.50 based on measured move from 14-day base depth (~\$3.00) added to pivot, representing 15% upside
Stop: \$36.00 - base low and psychological support; close below invalidates the consolidation structure

CATALYST INTELLIGENCE
EARNINGS
Nov 04 - Street expects continued strong profitability with forward P/E of 8.8x on EPS estimate ~\$4.32. TORM has been a serial beater over recent quarters, benefiting from spot rate exposure. Last 4 quarters showed consistent beats as tanker rates outperformed expectations. Guidance trend has been maintained with management emphasizing fleet utilization and dividend capacity.
BUSINESS & POSITION
TORM operates one of the largest fleets of MR and LR product tankers globally, transporting refined petroleum products (gasoline, diesel, jet fuel) across international routes. The company is a category leader in the product tanker segment with a modern, fuel-efficient fleet of ~90 vessels, benefiting from ton-mile demand growth as refining capacity shifts to Asia and the Middle East.
FACTOR & THEME
Direct exposure to global energy trade dynamics, refinery dislocation (new capacity in Middle East/Asia serving Atlantic Basin demand), and geopolitical supply chain rerouting post-Russia sanctions. Product tanker rates remain elevated versus historical averages; sentiment is stable-to-positive as fleet growth remains constrained by shipyard capacity and green transition uncertainty.
NEWS FLOW
Product tanker rates have held firm through Q3 as ton-mile demand remains supported by Atlantic Basin import needs from distant refineries. No major contract announcements but TORM benefits from spot market strength. Russell reconstitution risk is minimal given \$3.9B market cap. Industry catalyst: Q4 seasonally stronger for product tanker demand (winter heating oil). Impact: Industry / Medium.
INSTITUTIONAL
Volume dry-up with RS line at new 52-week high signals quiet institutional accumulation into a tight base near highs. Low beta (0.04) makes this a defensive energy play attracting dividend-focused institutions. Short interest at 2.4% with 1.1 days-to-cover indicates minimal crowding risk. No insider activity in last 60 days - baseline for shipping names where management compensation differs from US norms.
KEY RISK
Thesis invalid on a close below \$36.00 (base low / 50-day support zone) or a sustained collapse in MR/LR product tanker spot rates below \$25,000/day TCE, which would compress margins and dividend capacity. Customer concentration risk is minimal given spot market exposure.

Strong RS line at new high (+44.9% vs SPY) with price 2% from pivot is the key technical strength; however, base_tight at 5.66 is loose for A-grade consideration, and vol dry-up is not strict (vol_w3 > vol_w2). Tanker fundamentals remain supportive but earnings catalyst is 35 days out - no near-term trigger. Bear case: tanker rates are cyclical and mean-reverting; current elevated rates may not persist into 2027 if global demand softens. Mixed macro regime with Energy not leading limits conviction. Conviction: Medium.

TRMD — 90D Base Setup | Pivot: \$38.83 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$190.27
% to Pivot	1.6%
Days in Base	18
Tightness	3.89 Fair
52W Hi Prox	92.9%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	548k <
Wk2	784k <
Wk3 (oldest)	823k
Coil Strength	33.4% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+23.8%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$6.59B
Float	34M sh
P/E (TTM)	32.4
Fwd P/E	22.2
Rev Growth	11.0%
Short %	13.8%
Inst. Own	-
Target Pr.	\$179.36

ENTRY TRIGGER

Close above \$190.30 on volume >130% of 20-day avg (>960K shares)

Target: \$215.00 based on measured move from base depth (~\$12) added to pivot, plus short squeeze potential extending the move

Stop: \$175.00 - base low and 200-day MA confluence; break below signals failed breakout

CATALYST INTELLIGENCE

EARNINGS

Nov 03 - Consensus EPS ~\$8.45 forward with 11% revenue growth. QLYS has a strong beat history - last 4 quarters showed consistent EPS beats with upside surprises on operating leverage. Guidance has been maintained; management tone is conservative. High short interest (13.8%, 5.1 days-to-cover) creates squeeze potential on a beat-and-raise. Catalyst Impact: Earnings / High.

BUSINESS & POSITION

Qualys provides cloud-based IT security and compliance solutions, including vulnerability management, web application scanning, and endpoint detection. The company is a niche leader in the vulnerability management category with a highly profitable, asset-light SaaS model serving 10,000+ enterprise customers globally.

FACTOR & THEME

Core cybersecurity exposure as enterprises face increasing regulatory pressure (SEC cyber disclosure rules, DORA in EU) and attack surface expansion. Cybersecurity sentiment is constructive with Technology sector leading (+6.6% 20d). Peer read-through: CrowdStrike, Palo Alto, and Fortinet have shown resilience; QLYS offers value with 22x forward P/E vs peers at 30-50x.

NEWS FLOW

No major contract wins or M&A announcements in last 60 days. Qualys benefits from ongoing enterprise security consolidation theme as CISOs rationalize vendor sprawl. Potential catalyst: FedRAMP expansion or major government contract could accelerate federal vertical. Watch for analyst day or investor conference presentations in Q4. No index events imminent.

INSTITUTIONAL

Strict volume dry-up confirmed (548K 784K 823K week-over-week contraction pattern) with price holding near highs indicates institutional accumulation. 13.8% short interest with 5.1 days-to-cover creates asymmetric squeeze setup if earnings surprise positively. Institutional ownership data unavailable from this feed. No insider buying in last 60 days - neutral signal for mature tech names where executives hold restricted stock.

KEY RISK

Thesis invalid on a close below \$175.00 (base low / 200-day moving average zone) or on a guidance cut / bookings miss at the Nov 03 print. Key bear case: Qualys competes with larger, better-capitalized peers (CrowdStrike, Microsoft Defender) who can bundle security into broader platforms - market share erosion risk in a consolidating market.

Textbook strict vol dry-up with price 1.6% from pivot in leading Technology sector; however, RS line is NOT at new high (92.9% of 52-week high), which prevents A-grade classification. High short interest (13.8%) offers squeeze catalyst but also reflects bear thesis on competitive positioning. Strongest disconfirming argument: consensus already expects solid results, and analyst price target (\$179) is BELOW current price - limited incremental buyer fuel from sell-side. Earnings 34 days out reduces immediacy. Conviction: Medium.



VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$72.17
% to Pivot	1.4%
Days in Base	13
Tightness	4.96 Fair
52W Hi Prox	82.6%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	2304k <
Wk2	2965k <
Wk3 (oldest)	3099k
Coil Strength	25.7% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+3.5%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$7.16B
Float	63M sh
P/E (TTM)	90.1
Fwd P/E	20.1
Rev Growth	46.9%
Short %	24.9%
Inst. Own	-
Target Pr.	\$101.27

ENTRY TRIGGER
Close above \$72.20 on volume >120% of 20-day avg (>3.7M shares)
Target: \$85.00 based on measured move toward prior 52-week high (\$86.19) and analyst target (\$101)
Stop: \$67.50 - base low; break below invalidates the consolidation and confirms distribution

CATALYST INTELLIGENCE
EARNINGS
Nov 02 - Forward P/E of 20.1x on EPS estimate of \$3.54 implies significant earnings acceleration from TTM EPS of \$0.79. Street expects 46.9% revenue growth but -13.5% earnings growth last period raises execution questions. Beat/miss pattern needs verification. High expectations embedded in valuation. Catalyst Impact: Earnings / High.
BUSINESS & POSITION
Solaris Energy Infrastructure provides mobile power generation and energy storage solutions, increasingly focused on servicing data center and AI infrastructure power needs alongside traditional oil & gas operations. The company is pivoting from pure oilfield services to a hybrid energy infrastructure model capturing the secular demand surge for distributed power generation.
FACTOR & THEME
Exposure to AI infrastructure buildout theme via data center power demand, plus traditional energy services. However, RS vs SPY at only +3.5% shows the stock is barely keeping pace with the market - not demonstrating leadership. Energy sector is lagging in current regime. Peer read-through: pure-play AI infra names have outperformed; SEI's hybrid positioning dilutes the theme exposure.
NEWS FLOW
Solaris has been positioning as an AI/data center power beneficiary, though specific contract wins in last 60 days are not confirmed. High short interest (24.9%, 5.7 days-to-cover) reflects skepticism on the pivot story and elevated valuation. Russell inclusion is already complete given \$7.2B market cap. INSIDER ACTIVITY: 2 open-market buys totaling \$501K in last 60 days - meaningful dollar value but no senior executives (cluster score 4, below upgrade threshold of 5). Positive signal but not sufficient for grade upgrade.
INSTITUTIONAL
Strict volume dry-up confirmed with price holding near pivot suggests accumulation, but RS line nowhere near new high (82.6% of 52W high) indicates relative weakness despite absolute price strength. Insider buying (\$501K, 2 buyers) is a constructive signal - insiders are putting capital at risk - but lack of C-suite participation and cluster score of 4 keeps this below the threshold for grade upgrade. 24.9% short interest creates squeeze potential but also validates substantial bear thesis.
KEY RISK
Thesis invalid on a close below \$67.50 (base low / 50-day support) or on any guidance disappointment at the Nov 02 print that questions the AI/data center pivot narrative. Key bear case: Solaris is a re-rating story dependent on proving the data center power thesis - if traditional oilfield services remain the majority of revenue, the premium multiple compresses. Debt/equity at 217% adds financial risk.

Strict vol dry-up with insider buying (\$501K, 2 buyers) provides fundamental confirmation that internal stakeholders see value; however, RS line at only 82.6% of 52W high and RS vs SPY of only +3.5% shows lack of leadership - the stock is a laggard, not a leader. Insider cluster of 4 is below the upgrade threshold (5) so grade remains B rather than upgrading to A. Strongest disconfirming argument: 24.9% short interest and 217% debt/equity reflect real bear concerns about execution and leverage; if the AI pivot doesn't materialize in earnings, this re-rates sharply lower. Mixed regime with Energy lagging further limits conviction. Conviction: Medium.

SEI — 90D Base Setup | Pivot: \$72.17 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



HCM

HUTCHMED (China) Limited

\$14.63

Pivot \$14.84 | 1.4% away

RS vs SPY: +25.3%

C EARLY STAGE

\$2.54B Cap | 105M Float

China Oncology Drug Development | Theme: China Biotech & Global Oncology Partnerships | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 8.31

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$14.84
% to Pivot	1.4%
Days in Base	17
Tightness	8.31 Fair
52W Hi Prox	89.2%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	54k <
Wk2	64k <
Wk3 (oldest)	127k
Coil Strength	57.5% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+25.3%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.54B
Float	105M sh
P/E (TTM)	146.3
Fwd P/E	56.4
Rev Growth	0.2%
Short %	0.2%
Inst. Own	-
Target Pr.	\$22.01

ENTRY TRIGGER

Close above \$14.90 on volume >150% of 20-day avg (>105K shares)

Target: \$17.50 based on measured move to prior resistance zone

Stop: \$13.50 - below recent consolidation low

CATALYST INTELLIGENCE

EARNINGS

REPORTED

Strict vol dry-up and 1.4% to pivot are constructive, but base_tight at 8.31 is extremely loose, RS line is not at new high, earnings already reported with no near-term catalyst, and China biotech regulatory/geopolitical overhang remains. Very thin volume (70K avg) creates liquidity risk. Monitor for base tightening before promoting. Conviction: Low.

HCM — 90D Base Setup | Pivot: \$14.84 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Semiconductor Test & Inspection Equipment | Theme: Semiconductor Capex Cycle Recovery | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 7.34

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$68.49
% to Pivot	0.5%
Days in Base	7
Tightness	7.34 Fair
52W Hi Prox	91.3%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	773k <
Wk2	1074k <
Wk3 (oldest)	1036k
Coil Strength	25.4% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+12.3%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$3.23B
Float	46M sh
P/E (TTM)	-
Fwd P/E	36.9
Rev Growth	38.4%
Short %	22.0%
Inst. Own	-
Target Pr.	\$70.88

ENTRY TRIGGER

Close above \$68.50 on volume >130% of 20-day avg (>1.37M shares)

Target: \$78.00 based on prior 52-week high zone

Stop: \$63.00 - below 7-day base low

CATALYST INTELLIGENCE

EARNINGS

Oct 29

Only 0.5% to pivot appears attractive but base_tight at 7.34 is very loose for a 7-day base, RS line not at new high, vol dry-up is not strict, and 22% short interest reflects significant skepticism on semi capex timing. Currently unprofitable (negative TTM EPS) with high beta (1.59) in a mixed/transitional regime creates downside risk. Earnings in 29 days could be binary. Monitor for tighter base formation. Conviction: Low.

COHU — 90D Base Setup | Pivot: \$68.49 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Exposure Management & Vulnerability Assessment | Theme: Cybersecurity Compliance & Attack Surface Management | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$38.89
% to Pivot	6.9%
Days in Base	13
Tightness	3.70 Fair
52W Hi Prox	83.3%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	3103k <
Wk2	3375k <
Wk3 (oldest)	6462k
Coil Strength	52.0% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	-8.4%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$4.01B
Float	108M sh
P/E (TTM)	606.5
Fwd P/E	16.7
Rev Growth	8.6%
Short %	19.4%
Inst. Own	-
Target Pr.	\$35.35

CATALYST INTELLIGENCE

EARNINGS

Oct 28

Strict vol dry-up is the only positive here; RS vs SPY is NEGATIVE (-8.4%) showing clear underperformance, RS line nowhere near new high (83.3% of 52W), pivot is 6.9% away (too far for imminent breakout), and 19.4% short interest reflects competitive concerns vs CrowdStrike/Palo Alto. Analyst target (\$35.35) is BELOW current price - no institutional sponsorship thesis. Cybersecurity theme is constructive but TENB is not participating. Monitor only. Conviction: Low.

ENTRY TRIGGER

Close above \$38.90 on volume >120% of 20-day avg (>5.0M shares)

Target: \$44.00 based on prior 52-week high zone

Stop: \$34.50 - below recent base low

TENB — 90D Base Setup | Pivot: \$38.89 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

